

Cordell Hull
Hudson Mitchell-Pullman
The Franklin Delano Roosevelt (FDR) Administration
The Great Depression 1933-1937

Section 1: Historical Background

We are in the midst of a global social and economic catastrophe, and this cabinet must work urgently to revitalize our economy and address issues that stretch beyond our borders. The Wall Street Crash of 1929, our inability to control monetary policy due to our use of the Gold Standard, and the Federal Reserve's indecisiveness and absence of action have all contributed to the dire economic situation in which the United States currently finds itself. From 1929 to the present, the United States Real GDP has fallen by nearly 30 percent, and unemployment has peaked at 25 percent. More than 9,000 banks have failed nationwide, and depositors have lost over 1.3 billion dollars. However, reverting to isolationism and a global lack of coordination and cooperation have greatly exacerbated the Great Depression. A plethora of countries, including the United States and France, continue to follow strict adherence to the Gold Standard, even after the United Kingdom abandoned it in 1931. This has led to a rise in global protectionism, causing harmful trade legislation, which includes the ineffective Smoot-Hawley Tariff Act. Although these tariffs aim to protect America's struggling farmers, who make up roughly 20 percent of the US population, they result in tax increases on over 900 different imported goods by an average of 40 to 60 percent, placing an economic burden on American consumers. These tariffs have raised the prices of consumer goods, caused the stock market to crash further following the 1929 crash, and most devastatingly, encourage retaliatory action by other nations, including America's biggest trading partner, Canada. This has caused US exports to plummet and global trade to fall by 65 percent, making it nearly insurmountable for the US and other countries to overcome the global economic depression. This inward-focused approach has also caused a dangerous rise in both fascism and expansionism across Europe and Asia, threatening the US economy and national security. Adolf Hitler, the Nazi Party's extremist leader, was recently elected chancellor of Germany. Additionally, Benito Mussolini, a dangerous fascist dictator, currently controls Italy, and Japan, fueled by expansionist desires, invaded Manchuria, China, two years ago in 1931.

Section 2: Cordell Hull's Position

As the United States Secretary of State, I hope to use trade liberalization to improve the US's economic, political, and societal standing both domestically and globally. Mounting pressure from Americans to improve our dire economic situation domestically has caused an understandable halt in support of free trade initiatives; however, I believe that free trade is a vital aspect of improving the domestic and global economy. Additionally, although isolationist rhetoric by the US and other European nations has caused indifference regarding trade liberalization on a multilateral level, I find it to be impossible to separate the idea of global commerce from world peace. Dating back to our founding father Benjamin Franklin, we have traditionally had a policy of free and open trade with equal access to all markets, however, we have resorted to "beggar-thy-neighbor" trade policies as a result of these extreme economic difficulties. Our closed markets, preferential and exclusive trade agreements, and import tariffs only benefit an insignificant number of special interest groups. Instead, they have caused Americans economic troubles and have caused political friction and fragility. The biggest challenge that we face as fellow members of FDR's brain trust is demonstrating to the American people, and skeptics in Congress, that unhampered global trade is the only viable method of fostering world economic prosperity and peace.

Section 3: Solutions

Before we begin drafting potential legislative action and executive orders, we must first convince the American people that focusing on trade liberalization and global collaboration will

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benefit economic interests both in America and abroad, in addition to maintaining world order. First, I plan to immediately centralize American trade policy by establishing a branch of the State Department that solely focuses on international trade policies and negotiations. This bureau will begin by creating targeted marketing campaigns through newspapers, TV and radio ads, and press conferences to target everyday Americans and members of Congress. The objective of these outreach efforts is to garner excitement and public support for liberalized trade. To reinvigorate support for trade liberalization on a multilateral level, the specialized trade bureau will host global trade summits and forums to discuss the immense benefits of a coordinated global trade liberalization effort. Furthermore, the US must negotiate with France and other nations still using the Gold Standard to allow for an immediate and seamless transition from the Gold Standard to a fluctuating currency. I propose that we allow these countries to temporarily peg their currency to the USD at a fixed rate with a small range of acceptable variation to prevent devaluation wars, should they agree to leave the Gold Standard. Additionally, the US will reduce or eliminate tariffs on nations who agree to leave the Gold Standard and implement reciprocal trade agreements, allowing for rapid economic recovery domestically while also liberalizing trade globally. To kickstart global trade, the US should also increase imports of certain products while ensuring that we protect our agricultural and manufacturing industries at home. We must also use public works projects and infrastructure upgrades to increase domestic production of goods that can be exported to other nations. This will further contribute to the national and international economic recovery. Lastly, global economic instability is threatened by the rise of extremist governments worldwide. I believe that world peace is only possible with global economic prosperity. Therefore, we must use effective multilateral economic policy and unprecedented levels of worldwide cooperation to combat rising expansionism. We should also join and lead reforms in the *League of Nations*, impose sanctions on aggressor nations, namely Japan, Germany, and Italy, and form strong military alliances with allied nations to defend against potentially harmful nations. We must also contribute to the economic recovery of lesser-developed nations, including those in Latin America, without interfering militarily. The administration shall also increase military spending and the amount of private sector military contracts to act as a deterrent to a potential world war by adversarial nations.

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